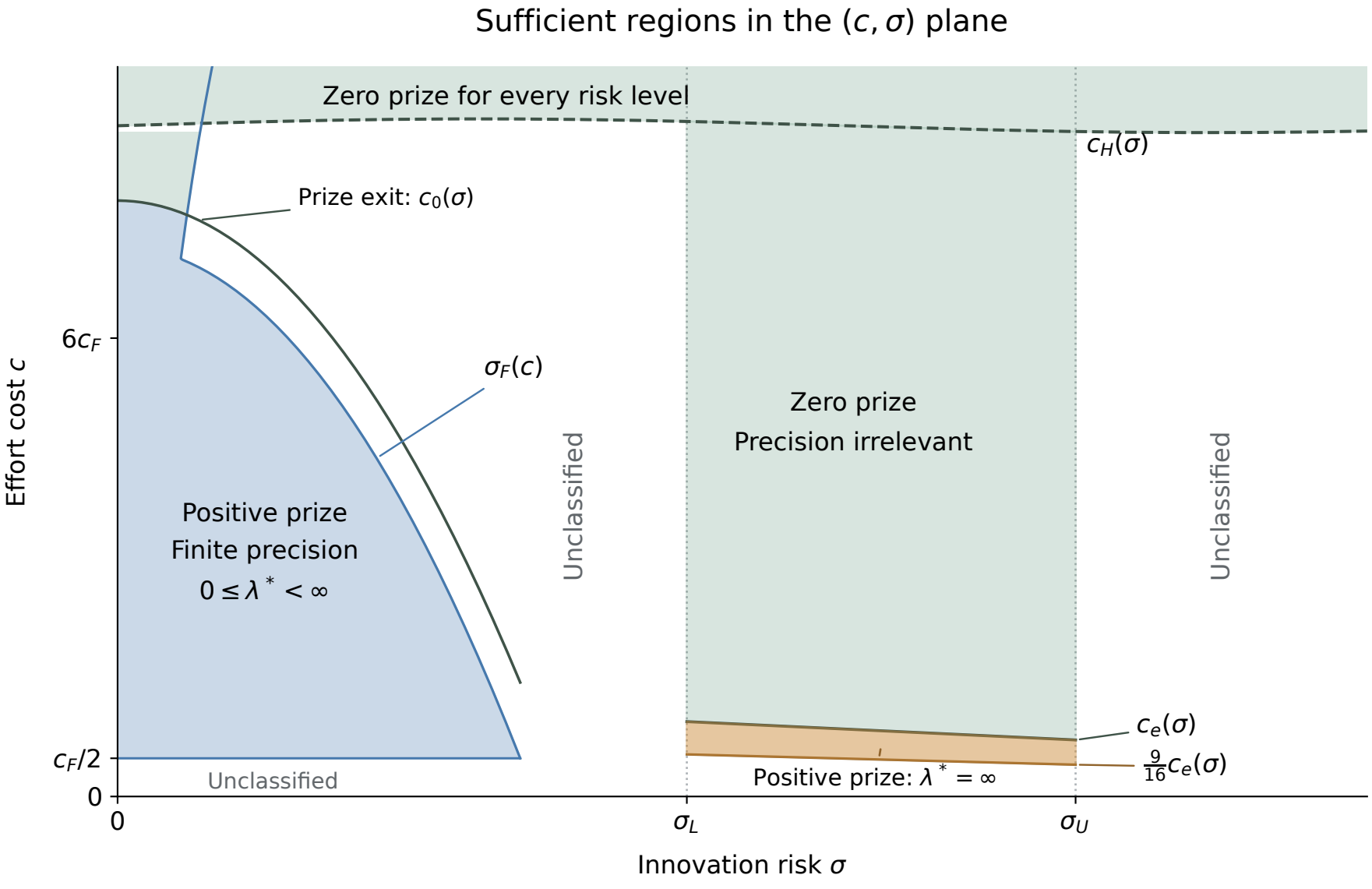
Sufficient regions in the (c, σ) plane
Zero prize for every risk level
$c_H(\sigma)$
Prize exit: $c_0(\sigma)$
$6c_F$
$\sigma_F(c)$
Effort cost c
Positive prize
Finite precision
$0 \le \lambda^* < \infty$
Unclassified
Zero prize
Precision irrelevant
Unclassified
$c_e(\sigma)$
$\frac{9}{16}c_e(\sigma)$
Positive prize: $\lambda^* = \infty$
$c_F/2$
0
Unclassified
0
σ_L
σ_U
Innovation risk σ
Schematic only: positions and curve shapes are not numerical boundaries.